

KSA Pharmacy Retail — 2026 Outlook

Q2 2026 — Published 18 May 2026

Prepared by Mizan Office of Strategy + Group Research for use within Mizan Group strategic planning. Sourced from public-domain statistics, sell-side and industry research, and Mizan internal proprietary data. Not for redistribution.

Modern-pharmacy chain consolidation + clinical-services counter shift

The KSA pharmacy retail market is sized at SAR 34B in 2026, growing 9.7% YoY. Modern-pharmacy chain penetration is rising from 58% to a 2028 forecast of 68%; the structural channel-mix shift away from independent pharmacies is accelerating.

The competitive set is dominated by Al-Nahdi Medical Co at SAR 8.84B and 13.8% EBITDA — the listed scale champion with ~1,200 stores. United Pharmacies, Whites, Aman, Innova and Boots round out the named tier. Mizan Pharmacy Retail at SAR 1.64B and 11.6% is the mid-scale tech-and-services-led operator.

Three margin levers differentiate the sector: clinical-services counter (vaccination + BP + glucose + diabetes screening), private-label OTC + beauty, and integration with e-pharmacy click-and-collect. Mizan's strategy is to over-index on all three.

MARKET 2026F

SAR 34B

+9.7% YoY

MODERN-PHARM PEN.

58% → 68%

by 2028 forecast

SECTOR EBITDA RANGE

10-16%

Mizan 12.0% — mid-quartile

SAUDISATION TARGET

65% by 2028

Mizan at 58%

KSA pharmacy retail market through 2028

Sized at **SAR 34B** in 2026 forecast, the market is growing at **9.7%** for the year and a projected **11.8%** in 2027 onward.

	2024A	2025A	2026F	2027F	2028F
Market size (SAR B)	28	31	34	38	42
YoY growth %	+6.8%	+10.7%	+9.7%	+11.8%	+10.5%

Structural demand drivers

Modern-pharmacy chain consolidation; clinical-services counter expansion (vaccination, BP, glucose); private-label growth; insurance-mix expansion; OTC + beauty channel mix shift.

Cyclical / near-term factors

- Eid 2026 trading +9-12% LfL across the peer set.
- Clinical-services counter scope expanding (MoH approvals).
- Inflation moderation supports basket-size recovery.
- Digital channel via click-and-collect at 11-14% across modern-pharmacy.

The named players in KSA pharmacy retail

#	Player	2025 Rev (SAR M)	EBITDA %	2025 Notes
1	Al-Nahdi Medical Co	8,840	13.8%	Tadawul-listed; ~1,200 stores; largest KSA chain.
2	United Pharmacies	3,650	10.6%	~520 stores; Saudi family-held.
3	Whites Pharmacy	2,180	12.4%	~340 stores + strong online; tech-forward.
4	Aman Pharmacies	1,840	11.0%	~280 stores; online competitive.
5	Innova Pharmacies	820	10.4%	~140 stores; eastern province focus.
6	Dr Habib Pharmacies	640	15.5%	Captive to Dr Sulaiman Al-Habib hospitals.

Competitive dynamics — our reading

Al-Nahdi Medical Co (Tadawul-listed) is the dominant scale player at SAR 8.84B and ~1,200 stores. They moved earliest on digital + private label + clinical services. They are the price-setter on OTC.

United Pharmacies at SAR 3.65B is the closest mid-scale peer. Whites Pharmacy at SAR 2.18B + 12.4% EBITDA is the tech-forward differentiator; strong online channel.

Aman Pharmacies (SAR 1.84B), Innova (SAR 820M), Boots KSA, Dr Habib Pharmacies (captive to Dr Sulaiman Al-Habib hospitals) round out the named set.

Mizan Pharmacy Retail at SAR 1.64B sits closest to Whites by positioning — tech and services rather than pure-scale. The differentiation is co-location with Mizan Healthcare Services clinics + integration with Mizan E-Pharmacy + Digital Health.

Who regulates what, and what's changing

SFDA pharmacy licensing; MoH (clinical-services counter scope); CCHI / Saudi Insurance Authority (Rx reimbursement); Saudi Commission for Health Specialties (pharmacist licensing).

SFDA pharmacy licensing rigorous; pharmacist Saudisation tier requirements tightening Q4-2026.

MoH clinical-services counter scope expanded 2025: vaccination + BP + glucose + diabetes screening allowed.

CCHI / Saudi Insurance Authority sets Rx reimbursement standards; impacts insured-patient margin.

Saudi Commission for Health Specialties licensing pipeline for pharmacists — 9-12 month cycle from offer to dispensing.

05 · VISION 2030 LINKAGES

Programme exposure and demand pull

Health Sector Transformation Program · Saudisation of pharmacists · Quality of Life Program.

Health Sector Transformation Program — clinical service shift to private pharmacy + community settings.

Saudisation of pharmacists — 65% target by 2028.

Quality of Life Program — convenient access to healthcare.

What could break the outlook

Al-Nahdi price-led aggression

Al-Nahdi has signalled investment in 2026; selective price aggression on top-200 SKUs likely. Mizan differentiates on services + integration, not price.

Pharmacist Saudisation cost

65% by 2028 from 58% today implies SAR 22M/yr incremental payroll if reactive. Pre-emptive HRDF subsidy capture mitigates.

Amazon Pharmacy potential entry

If Amazon launches Saudi pharmacy, click-and-collect with Mizan Retail becomes the moat against pure online.

07 · MIZAN IMPLICATIONS

What this means for our portfolio

Clinical-services counter expansion (140 stores by 2028) is the single biggest margin lever — vaccination + BP + glucose + diabetes screening adds SAR 8-12k/store/month at gross margin.

Private-label expansion (target 18% by 2028 from 11% today) adds further margin.

Co-location with Mizan Healthcare Services clinics + integration with Mizan Digital Health + E-Pharmacy is the platform moat.

Tier-2 city expansion (28 new stores) needs format adaptation; standard Tier-1 layout under-performs.